

The Money I Never Learned About

Chapter 1: Savings and Investments

Author's note: Understanding money can be challenging, and this is a challenge I have taken up this week. I was randomly scrolling through my Commonwealth Bank app and came across a word, "ETF," that I did not recognise. The itch to understand the meaning behind it is what drove me to write this article. If you are someone who has just begun to earn and is looking to understand how money works and how to invest, this article is for you.

In the earlier days, way before the concept of money was established, we had a barter system. It was built on one basic rule: you give something, and you get something in return. In many ways, that simple exchange sits at the foundation of how the modern world's financial system currently works.

When someone works a job, they earn money. They spend some of it and save some for the future. But the real question is, how do they grow that money? They invest.

Saving is the practice of setting aside money for future use. Depending on where you keep it, you may also earn some interest. Investing is the practice of putting your money into assets with the expectation of generating returns. Here, returns are not guaranteed, and the value of your investment can rise or fall. We invest because we want our money to have the potential to grow over time.

So, if you want to invest, where do you start? You start by understanding what happens to money over time. Say you have a \$200 note. You keep that note with you for years. While the note stays the same, the value of it changes. Inflation is a general and ongoing rise in the prices of goods and services across an economy over time. As prices increase, the same amount of money buys you less. That means its purchasing power has decreased. Simply keeping money unchanged doesn't necessarily mean its value is being preserved. So, we invest to give our money the potential to grow faster than inflation over time.

When you invest, you naturally expect a return. Returns can be looked at in two ways: nominal return and real return. A nominal return is a return on your investment without considering inflation. A real return is a return after considering inflation. For example, you invest \$100 with a 10% return per year. At the end of the year, you get \$110. This is your nominal return of 10%. If inflation during that year was 4%, your real return would be approximately 5.8% after accounting for inflation. In other words, your money grew from \$100 to \$110, but its purchasing power grew by only about 5.8%. An interesting thing about returns is that they can themselves start generating returns. In this same example, if you continue to invest, in the first year you get \$110. In the second year, you earn 10% on the increased amount of \$110, giving you \$121. In the third year, you earn 10% on \$121, bringing your total to \$133.10. This is the basic idea of compound growth; your returns begin generating returns of their own.

So, in simple terms, I save money, but inflation reduces its purchasing power. So, I invest my money somewhere that can generate a return, and those returns can compound over time.

That brings us to the next important question: where and how do I invest?

Investments can be made in different types of assets. An asset is broadly something that has economic value and can potentially provide future benefits, such as cash, shares, bonds, property and funds. A security is a tradable financial asset that represents some form of financial value or claim. A market is an ecosystem where financial assets are bought and sold. An exchange is an organised system that facilitates the buying and selling of securities.

Different countries have different exchange systems, such as the ASX (Australian Securities Exchange), the NYSE and Nasdaq in the US, and the NSE (National Stock Exchange of India) and BSE (BSE Ltd., formerly Bombay Stock Exchange) in India. A primary market is where newly issued securities are sold, while a secondary market is where existing securities are traded between investors.

If you want to invest in a company, you need to buy its shares. Shares are small units of ownership in a company. Companies issue shares, and investors buy them. Companies can offer shares to the public in the form of an IPO (Initial Public Offering).

If you don't want to invest in just one company and want to pool your money into a basket of investments across multiple companies, you can invest in funds. Suppose you and four other people each want to invest in a mutual fund. If each person contributes \$1,000, all five of you pool your money, giving the fund a total of \$5,000. The fund creates 500 units, each worth \$10, so each person receives 100 units for their \$1,000 investment. The fund then invests the pooled money in a collection of assets. If the value of those investments increases by 10%, the fund becomes worth \$5,500, making each unit worth \$11. Your 100 units would now be worth \$1,100, giving you a \$100 return.

There are different ways you can invest in or withdraw from a mutual fund. SIPs (Systematic Investment Plans) are a method of investing where a fixed amount is invested at regular intervals. For example, you can invest \$500 every month into a fund, allowing your investment to gradually grow as you continue contributing and the fund generates returns.

SWPs (Systematic Withdrawal Plans) are a strategy that lets you withdraw a fixed amount from a mutual fund at regular intervals. For example, if you have \$50,000 invested in a mutual fund, you can withdraw \$500 every month while keeping the remaining amount invested, allowing the remaining investment to potentially continue growing.

A lump sum is a single bulk investment. For example, you can invest \$10,000 into a fund at once, allowing the entire amount to remain invested and potentially grow with the fund's returns.

But what if I want the diversification of a fund with the flexibility of buying and selling it like a share? Enter the ETFs.

Exchange Traded Funds are funds traded on an exchange. They pool investors' money and provide exposure to many investments through a single trade. The main difference is that you can buy or sell an ETF when the market is open, while mutual fund orders are generally processed at the fund's applicable price once per dealing period.

Yes, investments can generate returns, but they also come with risks. These risks can take different forms: markets can fall, a company or industry can struggle, interest rates can change, and currency exchange rates can move against you. Another factor we need to consider is fees. Funds, brokers and investment platforms may charge different types of fees, such as brokerage fees, management fees, platform fees and currency conversion fees. This means the return you calculate on your investment may not be the same as the amount you actually keep. And then there are taxes, money that may need to be paid to the government on certain investment income or gains.

If you did not understand any of the things in this article, just understand these three key things. When you want to buy company shares, you use a broker or investment platform to place an order. The market connects you with someone selling those shares. If the share price goes up or the company pays you a portion of its profits, you can earn a return. If you want to invest in more than just one company, you put your money into a mutual fund along with other investors. The fund manager uses this pooled money to invest in different assets across different industries. If those investments grow, your investment can grow too. You buy an ETF through a broker or platform. The ETF invests in many different assets, so your money is spread across them. If those assets increase in value, your ETF can also increase in value.

Can I start investing with this information? Yes, you can. The best way to learn about investing is by investing. But before you put your money in, take the time to research the investment, understand the risks, study its past performance and understand what you are actually investing in. Don't invest simply because something is popular or because someone else is doing it.

All these thoughts lead me to more interesting questions like: Where do stock markets and trading come into play? How do I decide where to put my money? Should I monitor the markets, and how frequently? And what about cryptocurrency? Some of these questions can wait for now, but I know I'll be coming back to them. Somehow, a random word I didn't recognise on my banking app led me much further than I expected. I started because I wanted to understand one unfamiliar word: What is an ETF?, and I am ending it with an even longer list of things I want to understand. I don't have answers to these questions yet. There is still a lot more for me to understand. So, I guess this is only Chapter 1.

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